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Corporate Restructuring.

Companies from time to time compare & self appraise of their activities and mode of operations in order to be of continued relevance.

In developing countries, there abound instances of Company Failure. Such Failures do not occur overnight but warning signs to that effect might not have been taken into account in the daily running of the company.

Consequently Companies do reposition themselves for future challenges while some other reorganize in order to re-catch the drifting ones. Such effort are always referred to as reorganization (i.e. the turning around of the company for efficiency).

Restructuring

This refers to changes in the capital structure of a company. In some cases the ownership structure is also changed in order to make it operate more effectively.

Other Forms of Restructuring.

① Management Buy-outs.

A Management Buy-out (MBO) is the purchase of all or part of a business from its owners by its managers. eg Pfizer Acquires Pile now known as Heimelch International Pharmaceuticals plc. For example, the directors of a subsidiary company form the holding company, with the intention of running it as proprietors of a separate business entity.

② Management Buy-ins.

Buy in is the term used when a team of outside managers, as opposed to managers

Who are already running the business, meet & take over bid and then run the business themselves

A management buy in might occur when a business is running into trouble, and a group of outside managers sees an opportunity to take over the business and restore its profitability.

① Leverage Buy out (LBO) is the acquisition of another company using a significant amount of borrowed money (bonds or loan) to meet the cost in some cases, a target company buys all of its shares and convert to privately held company in a transaction called a leverage buy out. In a leverage buy out (LBO) the management team generally partners with a ~~private~~ private-equity firm that specialises in buyouts. The new ~~set~~ only partners a high proportion of the overall purchase price, the financial firm contributes a certain amount of capital and the management operates to run the business. In exchange for expertise, management generally receives a percentage of the company based on the profitability and success of the company after the LBO is complete.

② Merger is viewed as the situation where two or more companies combine together to form a larger business organisation or

merger is the pooling of interest by two business entities which result in common ownership.

Acquisition on the other hand, involve a larger company (a predator) acquiring a smaller company (a target).

Advantages of Merger.

① Speed

The acquisition of another company is a quicker way of implementing a business plan as the company acquires another organisation that is already in operation. An acquisition also allows a company to reach a certain optimal level of production than through organic growth.

② Lower cost.

An acquisition may be a cheaper way of acquiring productive capacity than through organic growth. An acquisition can take place for instance through ~~organic growth~~ on exchange of shares which does not have an impact on the financial resources of the firm.

③ Acquisition of intangible asset

A firm through an acquisition may acquire not only tangible assets but also intangible assets such as brand recognition, reputation, customer loyalty and intellectual property which are much difficult to achieve with organic growth.

④ Access to overseas markets

When a company wants to expand its operations in ~~the~~ overseas market, acquiring a local firm may be the only option of breaking into the overseas market.

Disadvantages of merger.

① Exposure to business risk.

Acquisition normally represent large investments by the bidding company and account for a large proportion of their financial resources. If the acquired company does not perform as well as envisaged, then the effect on the acquiring firm may be catastrophic.

② Exposure to financial risk.

During the acquisition process, the acquiring company may lose complete information on the target company, and there may exist aspects

that have been kept hidden from outsiders.

③

Integration problems.

most acquisitions are beset with problems of integration as each company has its own culture, history and way of operating.

④

Managerial competence.

~~most acquisitions~~ When a firm is acquired, which is large relative to the acquiring firm, the management of the acquiring firm may not have the experience or ability to deal with the operations on the new larger scale. Even if the acquired company retains its own management.

⑤

Acquisition premium.

When a company acquires another company, it normally pays a premium over its present market value. This premium is normally justified by the management of the bidding company as necessary for the benefit that will accrue from the acquisition. However, this large premium may render the acquisition unprofitable.

Types of merger

① Horizontal merger

This is a combination of two or more firms in similar type of production, distribution or area of business. Examples would be combining two commercial banks or union bank and wealth bank.

②

Vertical merger.

This is the combination of two or more firms involved in different stages of production or distribution. For example, joining a TV

Manufacturing (or assembling) company and its
TV marketing company or joining of spinning
company and a weaving company. Vertical
merger may take the form of forward or back-
ward merger. When a company combines with
the supplier of material, it is called backward
vertical merger and when it combines with custo-
mer, it is known as forward vertical merger.

Conglomerate merger.

This is the combination of firms engaged in
unrelated lines of business activity. A typical
example is merging of different businesses
like manufacturing of cement products, fertilizers
products, electronic products, insurance and
advertising agencies. UACIS plc, AIG Leavitts
NSG plc, PZ industries are some example of
conglomerate companies in India.

Motivations for Business Combination,

- ① Operations → ① Elimination of duplicate and competing facilities
- ② Purchasing → ① To secure scarce and material
- ③ Marketing → ① Elimination of competition or protect existing market

④ Diversification of competition or
~~protect existing market~~

- ⑤ Diversification into other products or markets or to complete a product range
- ⑥ To obtain a new sales outlets or persist overseas.

2. Management - ① To buy up a Company having aggressive and Compehal moneta Acquisition

① Inject Fresh Ideas for better projects and enhancement of shareholders wealth.

③ Diversification

→ ① The management of many Companies may feel that the long term interest of the shareholders will be best served by spreading risk through conglomerate diversification
② b/c there it is suspected that the Firms creditlinal markets will decline.

④ Finance | Liquidity

① To boost its ability to raise new finance

② To improve EPS

③ To gain access to financed market

④ To fend off potential slders

⑤ To Obtain listing on the stock market

⑥ To enhance growth

⑦ To achieve greater assets backing as security for credits

⑤ production.

① To acquire necessary expertise in the production team

② To buy management talent

③ To buy time while the develop mental plan of the acquiring company matures

④ To improve technological know how from the acquired Company

Reasons For Successes and Failure in merge

- (a) proper planning is required
 - The objective of the merger should be clearly set out
 - a proper comprehension of the complexities in the different units before the merger and an adequate appraisal of the potentials.
- (b) Monophas of change
 - the quality of management talent determines the success or failure
 - the management style that is readily adaptable to change is required
- (c) Careful analysis of future requirement
 - proper appraisal (for example) of subsidiary future requirements for parent company funds is needed.
- (d) Organisation after the merger
 - Management must follow up, if possible by the use of a checklist to ensure the achievement of the present objectives
 - the tendency to relax after could ruin the set up.

Regulation of merger and acquisition.
in Nigeria.

Merger and acquisition are guided by the provisions of the Companies and Allied matters Act (CAMA 1990 as amended). According to the Act the conditions for ~~the~~ Scheme of mergers to be effective and binding include the following

① The special resolutions to be proposed for a Scheme of mergers to be

① The special resolutions to be proposed at the court ordered meetings must be ~~decided~~^{passed} passed

② Securities and Exchange Commission (SEC) must approve the terms and conditions of the Scheme as agreed by majority of the shareholders of both companies

③ The Scheme must have been approved by a majority representing three-fourths in value of the shareholders of each of the two companies voting either in person or by proxy, at their separate meetings convened by order of the court

④ The court must sanction the scheme and confirm the cancellation of the target company, the merger or its assets and liabilities and undertakings with those of the bidding company as provided in the Scheme and the dissolution of the target company without winding up.

⑤ Delivery of the office copy of the court order to the Registrar - General of the Corporation Affairs Commission (CAG)